What are the costs of having high inflation? Clearly, everyone understands the costs of hyperinflation, when prices are rising every minute. Money is then a hot potato that no one wants to hold, with people rushing straight from the bank to the shops to buy goods in case their money loses value along the way. As people lose faith in money, barter of goods for goods or services becomes the norm, making transacting significantly more difficult. For instance, how much of a physics lecture would you have to pay a taxi driver to drive you to Bandra; moreover would the taxi driver accept a physics lecture in payment?; perhaps you would have to lecture a student, and get the student to sing to the taxi driver…you get the point, transacting becomes difficult as hyperinflation renders money worthless.

Hyperinflation also has redistributive effects, destroying the middle class's savings held in bonds and deposits. The horrors of hyperinflation in Austria and Germany in the 1920s still make scary reading.

So, clearly, no one wants hyperinflation. But what if inflation were only 15 per cent per year? Haven't countries grown fast over a period of time despite high inflation? The answer is yes, but perhaps they could have grown faster with low inflation. After all, the variability of inflation increases with its level, as does the dispersion of prices from their fundamental value in the economy. This makes price signals more confusing – is the price of my widget going up because of high demand or because of high generalized inflation? In the former case, I can sell more if I produce more, in the latter case I will be left with unsold inventory. Production and investment therefore become more risky.

Moreover, high and variable inflation causes lenders to demand a higher fixed interest rate to compensate for the risk that inflation will